

Chapter 4

Ethiopian Tax

- The Ethiopian government political structure is the base for Ethiopian public finance.
- There are three forms of Government structure:
 - ✓ **unitary system** places ultimate governmental authority in the national government.
 - ✓ **co federal system** is a league of independent states.
 - ✓ **Federal system** divides governmental authority between a national government and state governments.

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- Ethiopia is a federal state and the Central-Regional financial relations are based on the principle of federal finance.
- It is a system of federal finance, with center and states sharing responsibilities and resources.
- The areas of the government's budgetary operation (i.e. receipts and expenditures) between the centre and the states are demarcated.
- In addition there takes place financial transfer from the centre to the states
- **Federal Finance** is financial system in which revenues and expenditure of a given nation are divided between central and state governments .

MODES OF ALLOCATION OF REVENUE RESOURCES IN FEDERAL GOVERNMENT

- ✓ In a federal Government, allocation of financial resources between the centre and the states is of great importance.

Modes of Revenue Allocation

There are two types of allocation. They are as follows:

1. Independent System:

- Under this system, the units in a federation are deriving their revenue from absolutely different sources.
- There would be no concurrence or contact between the centre and the units.

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2. Mixed System:

- Under this system, there would be concurrence and contact between the centre and the units(states).
- This system is divided into two viz., concurrent mixed system and the contact mixed system.
 - A. concurrent mixed system, in this system both centre and the states have concurrent powers of taxation regarding certain sources. There would be no transfer of resources from the centre to the states.
 - B. contact mixed system, in this case contact between the centre and the states is created. There would be assignments, subsidies, subventions or contributions.

Basis for Revenue Sharing

- The sharing of revenue between the central government and the National/ Regional governments shall take in to consideration the following factors :
 1. Ownership of source of revenue;
 2. The National or Regional character of the sources of revenue;
 3. Convenience of levying and collection of the tax or duty;
 4. Population, distribution of wealth and standard of development of each region;
 5. Other factors that are basis for integrated and balanced economy.

Categorization of Revenue

❖ According to "Constitution of Ethiopia" and Proclamation No.33/1992-Proclamation, revenues shall be categorized as

1. Central List,
2. Regional List, and
3. Joint/Concurrent List.

1. Central List

The sources of revenue given under Federal/Central List, are as follows:

- a). Duties, tax and other charges levied on the importation and exportation of goods;
- b). Personal income tax collected from the employees of the central Government and the International Organizations;
- c). Profit tax, Personal income tax and sales tax collected from enterprises owned by the Central Government. (Now sales tax is replaced with VAT and Turnover taxes).
- d) Taxes collected from National Lotteries and other chance winning prizes;
- e). Taxes collected on income from air, train and marine transport activities;
- f). Taxes collected from rent of houses and properties owned by the central Government;
- g) Charges and fees on licenses and services issued or rented by the central Government;

2. Regional List

- ❖ The following shall be Revenues for the Regions:
 - a). Personal income tax collected from the employees of the Regional Government and employees other than those covered under the sources of central government.
 - b) Rural land use fee.
 - c) Agricultural income tax collected from farmers not incorporated in an organization.
 - d) Profit and sales tax collected individual traders.
 - e) Tax on income from inland water transportation.
 - f) Taxes collected from rent of houses and properties owned by the Regional Governments;
 - g) Profit tax, personal income tax and sales tax collected from enterprises owned by the Regional Government;
 - h) With prejudice to joint revenue sources, income tax, royalty and rent of land collected from mining activities.
 - i). Charges and fees on licenses and services issued or rented by the Regional Government;
 - j) Forest royalty

3.Joint/Concurrent List

- ✓ The following shall be Joint revenues of the Central Government and Regional Governments:
 - A. Profit tax, personal income tax and sales tax collected from enterprises jointly owned by the central Government and Regional Governments;
 - B. Profit tax, dividend tax and sales tax collected from Organizations;
 - C. Profit tax, royalty and rent of land collected from large scale mining, any petroleum and gas operations;

- The following table shows how the joint revenue is shared between the federal government and regional government.

11	Federal Government	Regional Government
<i>Jointly Established Enterprises</i>		
Profit Tax	In proportion to their respective capital contribution	
Employment Income Tax	50%	50%
Value-added Tax	70%	30%
Turnover Tax	70%	30%
Excise Taxes	70%	30%
<i>Companies</i>		
Profit Tax	50%	50%
Dividend Income Tax	50%	50%
Value-added Tax	70%	30%
Turnover Tax	70%	30%
Excise Taxes	70%	30%
<i>Mineral & Petroleum Operation</i>		
Profit Tax	50%	50%
Royalty	60%	40%

Part One

Income Tax in Ethiopia

Reading Assignment

- You are required to read the definition of terms that are used in “Federal Income Tax Proclamation No. 979/2016” (Article 2 of the proclamation).

Categories of Taxpayer

- There three categories of taxpayers according to tax proclamation:
- a) category “A” taxpayer being
 - 1 / a body ; or
 - 2 / any other person having an annual gross income of Birr 1,000,000 or more;
- b) category ‘B’ taxpayer being a person, other than a body, having an annual gross income of Birr 500,000 or more but less than 1,000,000;
- c) category ‘C’ taxpayer being a person other than a body, having an annual gross income of less than Birr 500,000

፫. የግብር ከፋይ ደረጃዎች

፩/ ለዚህ አዋጅ አፈፃፀም ሲባል የሚከተሉት የግብር ከፋይ ደረጃዎች ይኖራሉ፡-

ሀ) የደረጃ "ሀ" ግብር ከፋይ፤

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- The Authority may, on the basis of tax declarations filed by a taxpayer or any other information available to the Authority, determine whether the taxpayer's category has changed for a tax year.
- The Minister shall, after ascertaining by economic analysis, change at least within five years the annual gross income thresholds for the classification of a taxpayer as a category 'A' taxpayer category "B" taxpayer or category "C" taxpayer.

Residence

- The following are residents of Ethiopia:
 - a) a resident individual;
 - b) a resident body;
 - c) the Government of the Federal Democratic Republic of Ethiopia, and any Regional State or City Government in Ethiopia.

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- Resident individual is an individual who:
 - a) has a domicile in Ethiopia;
 - b) is a citizen of Ethiopia who is a consular, diplomatic, or similar official posted abroad;
 - c) is present in Ethiopia, continuously or intermittently, for more than 183 days in a one-year period.

Cont...

- A resident body is a body that:
 - a) is incorporated or formed in Ethiopia; or
 - b) has its place of effective management in Ethiopia.

Source of Income



- Employment income derived by an employee shall be Ethiopian source income:
 - ▣ a) to the extent that it is derived in respect of employment exercised in Ethiopia, wherever paid; or
 - ▣ b) if it is paid to the employee by, or on behalf of, the Government of the Federal Democratic Republic of Ethiopia, wherever the employment is exercised.

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- Business income derived by a resident of Ethiopia shall be Ethiopian source income except to the extent that it is attributable to a business conducted by the resident through a permanent establishment outside Ethiopia.

Cont..

Business income derived by a non-resident shall be Ethiopian source income to the extent that it is attributable to:

- a) a business conducted by the non-resident through a permanent establishment in Ethiopia;
- b) disposals in Ethiopia by the non-resident of goods or merchandise of the same or similar kind as those disposed by the non-resident through a permanent establishment in Ethiopia; or
- c) any other business activity conducted by the non-resident in Ethiopia of the same or similar kind as that conducted by the non-resident through a permanent establishment in Ethiopia.

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- Despite sub-articles (1), (2), and (3) of Article 3 of tax proclamation, income derived by a person shall be Ethiopian source income if it is:
- a) a dividend paid to the person by a resident body;
- b) rental income from the lease of:
 - (1) immovable asset located in Ethiopia; or
 - (2) movable asset located in Ethiopia subject to tax under Article 58 of the Proclamation;

Cont...

- c) a gain arising from the disposal of the following:
 - ▣ (1) immovable asset located in Ethiopia;
 - ▣ (2) a membership interest in a body, if more than 50% of the value of the interest is derived, directly or indirectly through one or more interposed bodies, from immovable asset located in Ethiopia;

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- d) an insurance premium relating to the insurance of a risk in Ethiopia;
- e) income from a performance or sporting event taking place in Ethiopia;
- f) winnings from a game of chance held in Ethiopia;
- g) interest, a royalty, management fee, technical fee, or other income subject to tax under this Proclamation:
 - 1) paid to the person by a resident of Ethiopia, other than as an expenditure of a business conducted by the resident through a permanent establishment outside Ethiopia; or
 - 2) paid to the person by a non-resident as an expenditure of a business conducted by the non-resident through a permanent establishment in Ethiopia.

Scope of Application



- The Proclamation shall apply:
 - to residents of Ethiopia with respect to their worldwide income
 - to non-residents with respect to their Ethiopian source income

Schedules of Income

- The Proclamation provides for the taxation of income in accordance with the following schedules:
- a) Schedule 'A', income from employment;
- b) Schedule 'B', income from rental of buildings;
- c) Schedule 'C', income from business;
- d) Schedule 'D', other income;
- e) Schedule 'E', exempt income.

SCHEDULE 'A' – EMPLOYMENT INCOME TAX

Who pays this tax?



- ❖ Every employee is required to pay a portion of his/her monthly employment income in the form of tax to the government.

Cont...

- ✿ Income from employment is taxed under schedule A.
- “Income” means every sort of economic benefit including non-recurring gains in cash or in kind, from whatever source derived and in whatever form paid, credited or received.
- “Taxable income” means the amount of income subject to tax after deduction of all expenses and other deductible items allowed under Proclamation , Regulations and Directive.

□ Article 2(7), 979/2016

“Employee” means an individual engaged, whether on a permanent or temporary basis, to perform services under the direction and control of another person, other than as an independent contractor, and includes a director or other holder of an office in the management of a body, and government appointees and elected persons holding public offices;

Cont'd...

- “Unskilled employee” means an employee who has not received vocational training, does not use machinery or equipment requiring special skill, and who is engaged by an employer for a period aggregating not more than 30 days during a calendar year.
- “Contractor” means an individual who is engaged to perform services under an agreement by which the individual retains substantial authority to direct and control the manner in which the services are to be performed.

Employment Income

- Employment income means the following:
- a) salary, wages, an allowance, bonus, commission, gratuity, or other remuneration received by an employee in respect of a past, current, or future employment;
- b) the value of fringe benefits received by an employee in respect of a past, current, or future employment;
- c) an amount received by an employee on termination of employment, whether paid voluntarily, under an agreement, or as a result of legal proceedings, including any compensation for redundancy or loss of employment, or a golden handshake payment.

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1. Every person deriving income from employment is liable to pay tax on that income at the rate specified in Schedule “A”.
2. Employers have an obligation (*Liability*) to withhold the tax from each payment to an employee, and to pay to the *Tax Authority* the amount withheld during each calendar month. In applying preceding income attributable to the months of Nehassie and Pagume shall be aggregated and treated as the income of one month.

“*Tax Authority*” means the ERCA Head Office or any of its branch offices established in any part of Ethiopia and the tax authorities of the Regional States

Tax Rate-Schedule A (**Art. 11 (979/2016)**)

S.NO	Monthly income		Tax rate	Deductions
	Over	To		
	0	600	Exempted	0
	600	1,650	10%	Br.60
	1,650	3,200	15%	142.50
	3,200	5,250	20%	302.50
	5,250	7,800	25%	565
	7,800	10,900	30%	955
	>10,900		35%	1,500

Computation of Employment income tax liability

The employment income tax is computed in two ways

- 1. Traditional/Progressive method:** The tax is computed progressively based on employment income tax rate Schedule A of proclamation 286/2002.

Employment Income Tax=Taxable income*Tax Rate

- 2. Deduction method:** Under this method employment income tax is determined by multiplying the gross income excluding direct exemptions by the tax rate less the given deduction for each tax bracket. The gross income for this purpose is the sum of all income less direct exemptions under the article 13 of the proclamation and the article 3 of the regulations

**Employment income tax=Gross income *Tax rate-
Deductions**

Example

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- Dr. Abebe is employed by XYZ Company and is paid 10,500 Birr per month. How much tax does Dr. Abebe pay to the government?

- Answer: Dr. Abebe's salary is between 7,801 and 10,900 according to table "A".

- $\text{Tax} = \text{monthly salary} \times \text{tax rate} - \text{deduction}$
 $\text{Tax} = 10,500 \times 30\% - 955.00$
 $\text{Tax} = 2195.00$

Benefits in kind

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- According to the Income Tax Regulation (410/2009), the value and tax of benefits given to the employee are as follows:-
 - ▣ Debt Free (Remaining Debt Amount)
 - ▣ Household service workers (housekeeper, cook, driver, gardener), housing;
 - ▣ Discounted interest loans (lower than market lending rates)

Benefits in kind

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- ▣ Discounted interest loans (lower than market lending rates)
- ▣ food or beverage service;
- ▣ Personal expenses (benefits for the employee's personal expenses, stipends...)
- ▣ Properties or Services;
 - If the employer supplies the property in the normal course of business 75% of the price or otherwise,
 - the selling price of the property/service;
 - The price of an economy class air ticket

Bonus and Annual leave

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- Bonus / Annual leave and similar payments are the benefits of 12 months, after summing up and dividing by 12, and after adding the results to the regular salary, the employment tax will be calculated.
- The employment tax payment will be calculated by subtracting the tax previously paid in the monthly salary and the tax difference of each 12 months is multiplied by 12. .

Example

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- Mr. Ayele was employed by XYZ Company as the Senior Accountant of the organization. The organization pays them a salary of 12,300 birr per month, and if they are paid their monthly salary in the form of a bonus at the end of the year due to their effective work performance in 2012, how much is the employment tax that Mr. Ayele will have to pay on the bonus?

Solution

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$$12,300/12 = 1,025 + 12,300 = 13,325.00$$

$$13,325 * 35/100 - 1,500 = \underline{3,163.75}$$

$$12,300 * 35/100 - 1,500 = \underline{2,805}$$

$$3,163.75 - 2,805 = \underline{355.75}$$

$$355.75 * 12 = 4,269.00 \text{ will be paid}$$

Example

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- Mr. Abebe is employed by XYZ Company and has served the company for 28 years. They will be paid a salary of 10,500 Birr. According to Mr. Abebe's request for the unused 30 days of annual leave in 2011 to be exchanged for money, the bill was calculated and given to him in the last year. If their annual leave is cashed out, how much will they pay in employment tax?

Solution

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$$10,500/12 = 875 + 10,500 = 11,375.00$$

$$11,375.00 * 35/100 - 1500 = \underline{2481.25}$$

$$10,500 * 30/100 - 955 = \underline{2,195}$$

$$2,481.25 - 2,195 = \underline{286.25}$$

$$286.25 * 12 = \underline{\underline{3,435}} \text{ tax will be paid}$$

Tax on Compensation upon Termination of Employment Contract

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- When an employee's contract is terminated for one or another reason, the employer may pay several kinds of payments to employees such as severance pay, bonus, compensation and other payments.
- According to the contract, when an employee is dismissed, the payment or severance payment will be made based on the monthly salary that the employee receives when he is dismissed. Accordingly, when the employee is dismissed, his first salary will be paid in full, and $1/3$ of his salary will be paid for the following years of service.

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- To calculate the tax on severance pay, the first thing we do is to convert the compensation pay to the employee's basic salary by dividing the compensation pay by the basic salary.
 - ▣ If, for example, the compensation pay is Br. 6,000 and the basic salary of the employee is Br. 2,000, then dividing the compensation pay by the basic salary will be equal to 3. The interpretation of this figure is that the compensation pay is equivalent to three months' basic salary of the employee.

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- The employee will, therefore, be taxed in the same way as he will be taxed for employment income on the three months' salary.
- If we get a fraction when dividing the severance pay by the basic salary of the employee, the excess amount of severance would be taken as one month salary and will be taxed separately.

Example

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- Dr. Kebede was the manager of the company at YZ Company and he was paid 30,500 birr per month during his stay in the company. How much should be paid to the dismissed individual when they are dismissed? How much of the severance pay will they have to pay to the revenue authority as employment tax?

Solution

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- 30,500 for the first year at 100%
- $30,500 * 1/3 * 7 \text{ years} = 71,166.67$
- $30,500 + 71,166.67 = 101,666.67$
- $101,166.67 / 30,500 = 3.32 \text{ months salary.}$
- $30,500 * 35 / 100 - 1500 = 9,175 * 3 = 27,525$
- $= 101166.67 - 91500 = 10166$
- $10,166 * 30 / 100 - 955 = 1,973.00$
- $27,525 + 1,973 = 29,498 \text{ severance pay employment tax}$

Example

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- Assume that Ato Asmare Belete was working as a permanent employee for ABC company until May 31, 2011. Assume further that his basic salary on May 2011 was Br 1,000 and his employment contract terminated on June 1st, 2011. The following were paid in relation to the termination of the employment contract.
 - Severance Pay Br 12,400
 - Compensation Pay Br 2,000
 - Annual Leave Br 2,000
 - Bonus Br 4,000

Solution

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- **Gross salary**
 - Severance Pay 12,400.00
 - Compensation Pay 2,000.00
 - Annual Leave 2,000.00
 - Bonus 4,000.00
 - Gross Income **Br. 20,400.00**
-
- **Taxable employment Income = Br. 20,400.00**

- **Tax on the severance pay**
- $\text{Br } 12,400 / 1,000 = 12.4$
- The quotient 12.4 means that the compensation pay Br. 12,400 is an equivalent of a twelve-months salary plus Br. 400, i.e., $[12,400 - (12 \times 1000)]$. The tax on the severance pay will be employment tax of twelve months on Br. 1, 000 and the excess amount Br. 400 will be treated as one month salary.

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- As shown below, the monthly employment income tax of Br. 1,000.00 is 40 which will be multiplied by 12 to determine the tax on Br. 12,000 severance pay. We compute the tax on the remaining balance, which is Br. 400 considering it as a one-month salary.
- $(1,000 \times 10\% - 60)$, Br 40 x 12 , Br 480.00.
- $(400 \times 0\% = 0)$, Br 0.00
- Total tax on severance pay is Br. 480 + Br. 0.00 = 480.00

- **Tax on the compensation pay**
- The total sum of compensation pay, Br. 2,000 is an equivalent of a two month salary for the employee.
- $\text{Br } 2,000 / 1,000 = 2 \text{ month salary}$
- The tax on the severance pay will be the employment income tax on Br. 1,000 for two months. The employment income tax for Br. 1,000.00 is Br. 80.00 which has to be multiplied by 2 to get the tax on the compensation pay. Therefore, it results in:
$$(1,000 \times 10\% - 60.00) = \text{Br } 40.00 \times 2 = \text{Br } 80.00$$

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- The tax calculated for severance and compensation pay are determined separately. But bonus and annual leave pay must be added on top of basic salary.

□ **Tax on bonus and annual leave**

- As indicated above, the bonus and annual leave due to the employee are Br. 4,000 and Br. 2,000, respectively (a total of Br 6,000).
- The computation of the tax will be $\text{Br } 6,000 / 12 = \text{Br } 500.00$ (The assumption here is that both annual leave and bonus given to Ato Asmare is for one calendar year)
- So, the yearly bonus and leave payment of Br. 6,000.00 will be Br. 500.00 when converted to a monthly proportion.

□ Basic salary	Br 1,000.00
□ Proportionate monthly bonus and leave	<u>500.00</u>
□ Taxable income	<u>1,500.00</u>

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- To compute the tax on the 6,000 Birr annual leave pay and bonus pay, we first calculate the tax on Br 1,500 (Br. 1,000 basic salary and Br. 500 the proportionate monthly bonus and leave)
- $\text{Br } 1,500 \times 10\% - 60 = 90$
- But Ato Asmare has been paying tax on the 1,000 Birr basic salary, which is $\text{Br } 1,000 \times 10\% - 60 = 40$.
- Thus, the difference Br. 50.00 (Br 90 – Br. 40) will be the monthly net tax balance that must be paid. It should be multiplied by 12 to obtain the tax for the 12 months. $\text{Br. } 50.00 \times 12 = \text{Br } 600.00$ must be withheld from the annual leave and bonus payment of Br 6,000.00.

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- The total tax that must be deducted from Ato Asmare's payment upon termination will be:
 - On severance pay Br 480.00
 - On compensation 80.00
 - On annual leave and bonus 720.00
 - Total tax would be **Br 1,280.00**
 - **Net pay**
 - Gross salary = Br 20,400.00
 - Total tax (1,280.00)
 - Br 19,120.00**

Circumstances in which overtime work is permitted

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- ✓ A worker may not be compelled to work overtime; however, overtime may be worked whenever the employer cannot be expected to have other alternative or other measures and only where there is
 - ❑ Accident, actual or threatened
 - ❑ Force –measure
 - ❑ Urgent work
 - ❑ Substitution of absent workers assigned on work that runs continuously without interruption.
- But overtime work of an individual due to an urgent work should not exceed 2 (two) hours in a day or 20 (twenty) hours in a month or 100 (one thousand) hours in a year.

Payments for over-time work

Duration	OT Rates
From office leaving hours to 10.00 p.m. in the evening, or from 6.00 am in the morning to 8.00 or 8.30 am, work starting hour.(Normal Hours)	One and quarter (1.5) of the ordinary hour rate
10.00 P.m. – 6.00 A.m. Evening – Morning(Late Hours)	One and half (1.75) of the ordinary hour
Rest Days	Twice (2) of the ordinary hour
Holidays	Two and half (2.5) of ordinary hours rate.

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- The overtime pay received by the employee during the month is added to the monthly salary and the total income is taxed according to Table "A".
- Example: 5 If the professional who is paid 15,000 birr per month works 20 hours per month overtime on a weekly holiday. How much is the overtime pay? How much will be the employment tax payable?

Solution

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- Daily salary = monthly salary / for 30 days Hourly rate
- Daily salary = $15,000 / 30 = 500$
- Hourly Pay = $500 / 8 = 62.5$
- The number of hours worked at OT x the hourly wage x the rate
- $20 \times 62.5 \times 2 = 2,500$
- $15,000 + 2,500 = 17,500$
- $17,500 \times 35\% - 1,500 = 4,625.00$ tax payable

Exempt Income under Proclamation

- The following amounts are exempt income:
- a) Subject to the limits set forth in the directive to be issued by the Minister in regard to items specified under number (2), (3), (4) and (6) of this paragraph following benefits provided to an employee:
 - ▣ (1) an amount paid by an employer to cover the actual cost of medical treatment of an employee;
 - ▣ (2) an allowance in lieu of means of transportation granted under a contract of employment;

Exempt Income under Proclamation

- Accordingly, the transportation or fuel allowance paid for one month's travel of an employee who performs his work by moving from place to place are exempted from tax shall account for $1/4$ of the employee's gross salary and it shall under no circumstances exceed 2200birr.
- For an employee to go from his residence to work and from his workplace to his residence, the transportation allowance exempted from tax is only 600 birr.

Exempt Income under Proclamation

- When an employee moves away from his normal place of work to perform his duties, the tax exemption for transportation expenses cannot exceed the cost of transportation (air, water, and land) to work.
- When a foreign citizen comes to Ethiopia to perform the work and leaves the country after completing the contract period, the transportation cost can be exempted from income tax based on the employment contract and air, water and land transportation service tariff. However, the tax-free freight bill for personal use goods cannot exceed 300 kg.

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- (3) a hardship allowance;
- If the allowance is paid for the injury caused by the hardship of the workplace due to high temperature or difficulty of living or any other similar reason, taking into consideration the injury that may be caused by the employee:
 - The allowance paid due to the difficulty of the workplace is exempted from tax according to the guidelines issued by the Civil Service Commission (in the case of first-class high temperature 40% of the salary, second-class 30% and third-class 20%).

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- Compensation paid for damage to health and safety due to radiation, disease, chemicals, etc. in the working conditions:
 - ▣ Allowances paid to the employee due to hardship of working conditions; (Lowest 25%, Medium 40%, High 60%); And if it is impossible to measure the level of damage, an amount not exceeding 25% of the employee's monthly salary will be exempted from income tax.

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- (4) per diem payments to an employee travelling on a tour of duty: The daily travel allowance (per diem) for an employee who travels outside of their regular work area to a place 25 k.m away may get tax exemptions:
 - The per diem paid to any manager or deputy manager of any company will be exempt from tax of 1000 Birr or 5% of the salary, whichever is higher.
 - If the bed allowance is billed as a receipt, the allowance for breakfast, lunch, dinner etc. is exempt from tax is Birr 600 or 3% of the salary, whichever is higher.

Cont...

- The daily allowance paid to an employee is exempt from income tax only in the amount of Birr 500 or 4% of the salary (whichever is higher). However, if the bed allowance is paid by receipt; amount of tax exempt for breakfast, lunch, dinner, etc., is 300 Birr or 2.5% of the salary for whichever is higher.
- The travel allowance paid to the manager or sub-manager of any company for the travel abroad related to the company's work is 20 percent added to the amount decided for other employees/employees;
- The travel allowance paid to an employee for a trip abroad to perform the work for which he was hired is exempt from income tax only if it is more than the travel allowance decided by the government for employees other than those who are government appointee.

Example

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- Mrs. Almaz works as the deputy manager of YXZ textile and manufacturing company and is paid a monthly salary of 50,000 birr. In addition to this, housing allowance is 5 thousand birr per month, telephone call cost is 200 birr, transportation allowance is 7500 birr, home to work and work to home allowance is 1000 birr and travel allowance is paid for 10 days for field work.
- **Required:**
 - ▣ What are taxable incomes? What are the non-taxable incomes? How much is the tax? How much is the severance pay? What is the after tax income?

Solution

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- Taxable income
- Transportation allowance is $50,000 \times 1/4 = 12,500$ and $1/4$ of the salary should not exceed 2200, so it will be $7500 - 2200 = 5,300$
- From home to work and from work to home $1000 - 600 = 400$
- Total taxable income = $50,000 + 5,000 + 5,300 + 400 = 60,700$
- Non-taxable income
- $200 + 2,200 + 600 = 3,000$ Answer
- The amount of tax to be paid $60,700 \times 35/100 - 1500 = 19,745$

Solution

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- The daily per diem allowance paid to a manager or deputy manager is exempt from income tax of 1000.00 Birr or 5% of the salary, whichever is higher.
- $50,000 \times 5\% = 2,500$ per diem allowance is not 1000 but 2,500 because one of the two is the higher, so 10 days of work $\times 2,500 = 25,000$ per diem allowance
- Gross Income = $50,000 + 5,000 + 200 + 7,500 + 1,000 + 25,000 = 88,700$
- Income after tax = $88,700 - 19,745 = 68,955$ excluding other expenses.

Example

72

- Let us assume Ato Ayele, Ato Chala and W/t Martha to be employees of Company ABC with a monthly salary of Br 1,600, Br 4,000 and Br 10,000, respectively. If all are paid a transport allowance of Br 2,500, how do we determine the exempted and taxable part of the allowances, if any, paid to this three employees in light of the relevant proclamation and directive?

Example

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- Assume W/t Zeritu, Ato Lema and Mr. Paul earn a monthly salary of Br 2,000, Br. 5,000 and Br. 10,000, respectively. If all are paid a daily per diem of Br. 300, how do we determine the exempted and taxable part, if any, of the per diem paid to the three employees?

Cont...

- ▣ (6) food and beverages provided for free to an employee by an employer:
 - Not more than 30% of the total monthly salary expenditure for those engaged in mining and exploration, manufacturing and agriculture and horticulture.
 - Not exceeding 20% of the total salary cost per month for those engaged in hotels, restaurants or other food service activities)
 - Uniforms and work equipment provided to employees
 - The total tax paid on benefits in kind shall not exceed 10% (ten percent) of the employee's monthly salary in any case.
- ▣ (7) allowances paid by the Government of the Federal Democratic Republic of Ethiopia to employees engaged in public service in a foreign country

Cont...

- ▣ (5) travelling expenses paid to an employee recruited from place other than the place of employment on joining or completion of employment, including, in the case of a foreign employee, travel expenses from and to their country of origin, but only if the travel expenses have been paid pursuant to specific provisions of the employee's contract of employment;
- ▣ (6) food and beverages provided for free to an employee by an employer conducting a mining, manufacturing, or agricultural business (Not more than 30% of the total monthly salary expenditure and not exceeding 20% of the total salary cost per month for those engaged in hotels, restaurants or other food service activities);
- ▣ (7) allowances paid by the Government of the Federal Democratic Republic of Ethiopia to employees engaged in public service in a foreign country

Cont..

- b) allowances paid to members and secretaries of boards of public enterprises, public bodies, or study groups established by the Federal or a State Government or City administration;
- c) contributions by an employer to a pension, provident, or other retirement fund for the benefit of an employee provided the monthly total of contributions does not exceed 15% of the monthly employment income of the employee;
- d) a pension to the extent exempt from tax under the Public Servants Pension Proclamation or the Private Organisation Employees' Pension Proclamation;

Cont...

- e) an amount derived by the Federal, or a State or Local Government of Ethiopia, or the National Bank of Ethiopia, from activities that are incidental to official operations;
- f) an amount exempt from tax to the extent provided for under an international agreement;

Cont...

- g) an amount exempt from tax to the extent provided for under a provision (referred to as an “exemption provision”) in an Agreement entered into by the Government of the Federal Democratic Republic of Ethiopia when the following conditions are satisfied:
 - (1) the agreement is for the provision of financial, technical, humanitarian, or administrative assistance to the Government; and
 - (2) the Minister has concurred, in writing, with the exemption provision;

Cont...

- h) a public award for outstanding performance in any field or an award granted under Article 135 of the Tax Administration Proclamation;
- i) an amount as compensation for personal injury or the death of another person;
- j) subject to Article 59 of this proclamation, a cash amount, or the value of asset, acquired by gift or inheritance, other than a gift that is employment, rental or business income;

Cont...

- k) a scholarship or bursary for attendance at an educational institution;
- l) maintenance or child support payments;
- m) the income of a non-profit organization other than business income that is not directly related to the core function of the organization;

What is the specific time to pay the withheld tax?

- ❖ The employer shall pay the withheld tax to the Tax Authority within 30 days of the ends of each calendar month.
- ❖ Each payment shall be accompanied by a statement with respect to each employee who derives taxable income for the month.
- ❖ The statement shall contain the following information.
 - ✓ The name, address and Tax Identification Number(TIN) of each employee;
 - ✓ The amount of taxable income derived by each employee from the employment;
 - ✓ The amount of tax withheld from that income and,
 - ✓ The amount of any tax exempt income derived by the employee.
- ❖ If an employer finds out that his employee has more than one employment income and if he ascertains that the other employer has not aggregated the said income, he shall aggregate and withhold the tax there of.

Can the employee pay the tax by herself or himself?

- In some exceptional cases, the income tax proclamation requires the employees to pay their tax by themselves.
- an employee working for more than one employer or
- an employee of an international organization having diplomatic immunity or working in embassies, missions and other consular establishments of a foreign government has the duty to declare and pay tax by her or himself within 30 days of the end of each calendar.

Preparation of employment income tax return

Payroll register: this is a multi column register (form) for the payment of salaries at the end of the payroll period.

The source document for preparing the payroll register is obtained from the following sources.

- ◉ Letter of employment
- ◉ Letter of Promotion
- ◉ Letter of Demotion
- ◉ Attendance list
- ◉ Time card
- ◉ Relevant payroll and labor proclamation

Cont...

Payroll Components

- Employee Name and Employee ID
- Earning Columns (parts)
- Deductions
- Net pays
- Signature

Illustration

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- ABC Company is a federal tax payer. The tax period is June 2011. Prepare the necessary schedule and computation for the following data:
- **Assumptions**
- There are four employees in the company: Ato Abebe Gete, W/ro Alem Zewde, Ato Kebede Tesema and Ato Endashaw Binager.
- Ato Kebede Tesema is a part time employee in ABC Co. He has a monthly salary of Br 750 in X co.
- Ato Endashaw Binager is terminated from employment effective June 1st, 2011. Thus he has severance pay of Br 4,500 and a two-month salary compensation of Br 1,000.
- Assume that transport allowance paid to all employees is clearly stated in the employment contract.

- **Ato Endashaw Binager:** This employee's contract of employment is terminated effective June 1st 2011. As stated in the example, he is entitled for Br 4,500 severance pay and Br 1,000 in two months' salary compensation. The question is how to calculate the tax due to Ato Endashaw that should be paid in the month of June upon termination. (Assume he has been paid until May 31st, 2011).

Cont...

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- Data for the two employees are as follows

No	Items	Ato Abebe Gete	W/ro Alem Zewde
1	Basic Salary	4,000	6,500
2	Transportation Allowance	1,200	600
3	Housing allowance	200	600
4	Hardship allowance		500
5	Monthly bonus		100
6	Overtime Pay	600	200

Illustration

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suppose ABC Company has the following employees and assume that the normal working hours per week are 44 hours.

No	Employees name	Basic salary	Over time work	Transpo allowance
1	Tadesse Abate	4500	-	-
2	Tedros Ephrem	6000	4 hours in the ordinary time and 10 hours in the late time	-
3	Adane Tesfaye	12,000	12 hours in the weekly rest days	2,500

Required:

- A. Compute the gross earning
- B. Compute the taxable income
- C. Compute the pension fund contribution by the employee and employer
- B. Compute the employment income tax
- C. Compute the net payee
- D. Prepare the payroll